

Economic Letter

June/2026



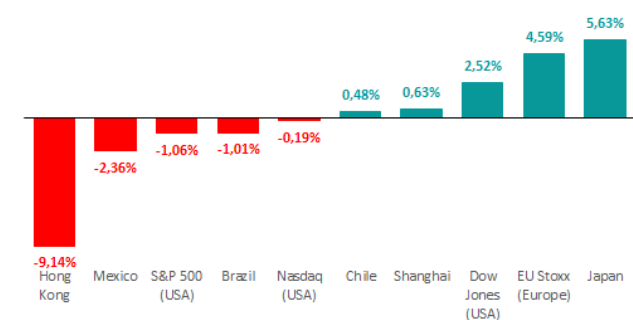
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Gestão de Recursos

External Scenario

June brought a dispersion in performance across the major global markets. Japan, Europe and the traditional sectors of Wall Street led the gains, while the Nasdaq and the S&P 500 lost momentum. Technology went through a bout of profit-taking after its strong run, with valuations under closer scrutiny following reports that OpenAI would postpone its IPO. The market was therefore caught between relief at the end of the war and renewed caution over US interest rates.

Main Stock Exchanges Performance - Jun/2026

Source: Bloomberg; Elaboration: 3V Capital

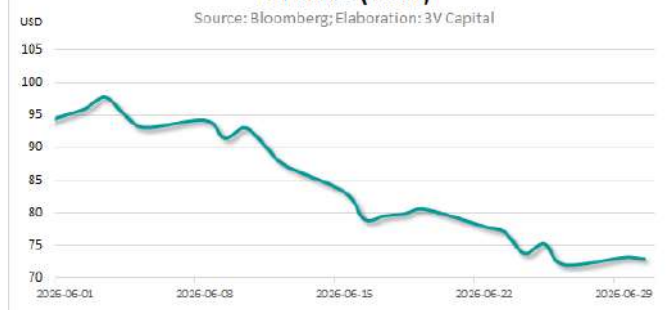


The turning point came from the Middle East. The United States and Iran signed the memorandum that formally ended the war that began in February, cleared the way for the gradual reopening of the Strait of Hormuz and authorized the resumption of Iranian exports. Brent gave back the risk premium it had accumulated and closed the month below US\$72, a decline of more than 20%. The agreement, however, put off the most sensitive issues — the nuclear program, enriched uranium and ballistic missiles — and the normalization of traffic is still surrounded by doubts over maritime security and shipping costs. Tail risk¹ has receded, but execution still has to

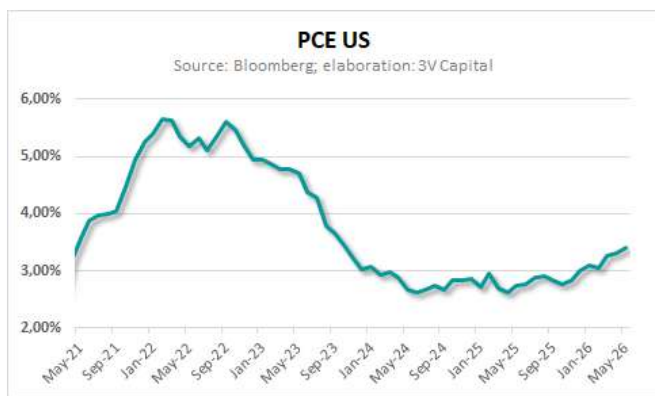
justify the relief the markets priced in ahead of time.

Oil Prices (Brent)

Source: Bloomberg; Elaboration: 3V Capital



With geopolitics moving to the background, central banks returned to the center of the game. Kevin Warsh's debut at the head of the Fed came across as considerably tougher than expected from a name regarded as dovish²: the rate was held, but the inflation projections rose sharply — the 2026 estimate for PCE³ went from 2.7% to 3.6%, and the core⁴ estimate from 2.7% to 3.3% — with nine officials projecting at least one hike still this year against only one arguing for cuts. The message was direct: the fall in oil helps, but it does not restore the Fed's comfort with the path of prices. In the final days of the month, though, a counterpoint took shape — the actual May PCE reading came in below expectations and, together with oil back at pre-war levels, reopened the question of whether the Fed had tightened too soon.



Looking ahead, the dilemma inverts the logic of the first half of the year. The war is no longer the central problem; the question now is whether inflation holds up enough to justify the tightening signaled by Warsh, or whether the drop in oil will itself do the work the Fed is threatening to carry out through interest rates. With inflation risk in retreat, the activity and employment indicators take center stage in the calibration of monetary policy — and each reading tends to move markets with renewed intensity. The outlook has improved at the margin, but volatility has merely changed address — from oil to the US yield curve, where the main risk of the second half is concentrated. In this environment, selectivity and risk discipline remain essential.

¹Tail risk: The risk of extreme, low-probability events that nonetheless have a strong impact on the portfolio.

²Dovish: A less restrictive monetary policy stance, inclined toward lower interest rates and a slower pace of tightening.

³PCE: The US personal consumption expenditures price index (the Fed's preferred inflation gauge).

⁴Core: A measure of inflation that excludes food and energy.

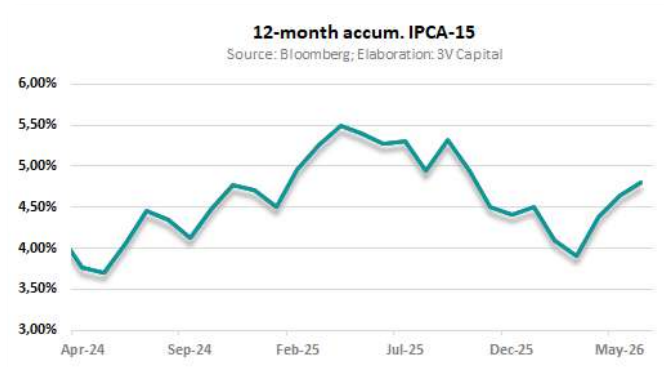
Domestic Scenario

June was marked by volatility in local assets, amid a combination of noise in the Central Bank's communication, a repricing of the electoral outlook and rising fiscal concerns. Although the

relief in oil reduced an important source of inflationary pressure, the domestic environment remained challenging, with activity still resilient, inflation expectations unanchored and growing doubts over how far the Selic easing cycle can extend.

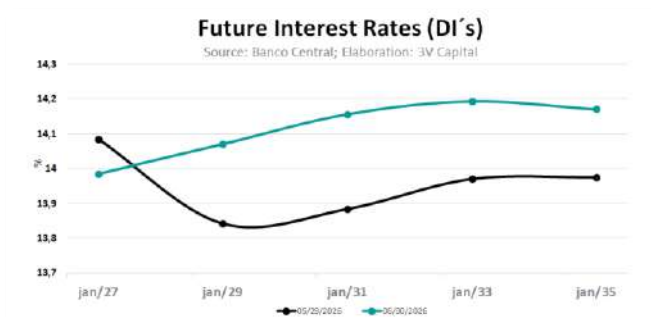
The activity data reinforced a less linear reading of the economy. Industrial production and services came in above expectations, pointing to resilience in relevant segments, while May's Caged showed a significant slowdown in job creation, below market expectations. The prevailing reading became that the labor market remains heated but is starting to lose momentum more consistently, gradually easing one of the Central Bank's concerns about services inflation.

On inflation, the month brought mixed signals. On one side, the fall in oil and the improvement in June's IPCA-15 helped ease part of the short-term concerns, with a more favorable composition in cores and services. On the other, expectations remain far from the target, and the IPCA is still running at a high level over the trailing 12 months. This picture kept the debate open on the actual room for further cuts, particularly given an expansionary fiscal policy and signs of still-resistant activity.



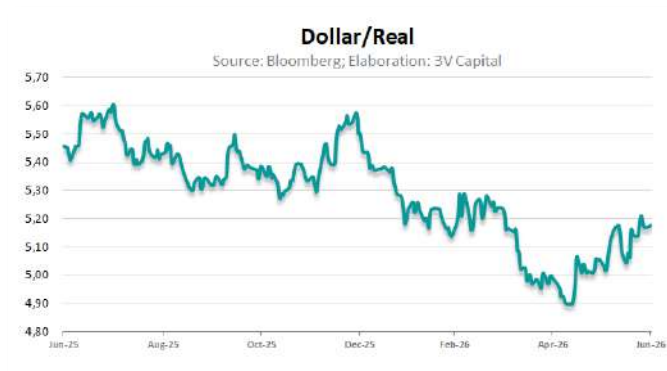
In this context, the Copom cut the Selic by 0.25 pp, to 14.25% per annum, but its communication caused considerable discomfort. The statement acknowledged the deterioration in the scenario — inflation above target, unanchored expectations and resilient activity — but left the door open to a continuation of the easing cycle. It was read as a contradictory message, one that preserved room for further cuts by bringing forward the relevant horizon of monetary policy to the first quarter of 2028, a move part of the market interpreted as an attempt to justify keeping the cycle going in a still-adverse environment.

The minutes did not dispel the doubts and ended up splitting bets between a pause and another cut at the following meeting. The Monetary Policy Report and Galípolo's press conference helped partly reorganize the reading, reinforcing that the Central Bank remains data-dependent and that an eventual pause would not necessarily mean the end of the cycle. Even so, the episode raised questions about the monetary authority's credibility and contributed to a steeper curve, with lower short-term rates and pressure on longer maturities.



The exchange rate, in turn, reflected both the external scenario and domestic uncertainties. After a solid performance for the year to date, the real lost momentum in June, pressured by the fall

in oil, by a tougher repricing of US interest rates and by the noise in the monetary authority's communication. Even so, the domestic currency remains stronger year to date, supported by an interest rate differential that is still high. The Ibovespa, for its part, ended the month lower, affected by the outflow of foreign capital.



On the political front, the news flow gained weight again, with the US proposal of additional tariffs on Brazilian products quickly absorbed into the debate. In addition, the Federal Police operation against Jaques Wagner and the crisis between Michelle and Flávio Bolsonaro heightened the electoral noise, reinforcing the perception of growing volatility in the months ahead.

As for the public accounts, the advance in Congress of measures with a high budgetary impact — including the renegotiation of rural debt and other proposals with potentially high costs — reinforced the perception of a loss of control over the fiscal agenda. S&P kept Brazil's sovereign rating but warned of the fragility of the public accounts, with high deficits, rising debt and pressured interest expense. At the same time, new subsidized credit programs rekindled doubts about the interaction between fiscal and quasi-fiscal policy and the work of inflation convergence being carried out by the Central Bank.

Looking ahead, caution should continue to permeate trading in the local market. The fall in oil and the signs of moderation in the labor market may keep the discussion of further Selic cuts alive, but the continuation of the cycle will depend on greater clarity in the Central Bank's communication, a favorable evolution of inflation and the containment of fiscal risks. In an environment of elections on the horizon, still-unanchored expectations and greater asset sensitivity to economic policy, preserving gains will depend on credible signs of spending discipline, governance and a commitment to inflation convergence.

Indicators - returns (%)				
Rate/Index	May-26	Jun-26	2026	Last 12 m
CDI	1,07%	1,12%	6,85%	14,78%
Dollar (Ptax-V)	1,37%	2,37%	-5,92%	-5,14%
Ibovespa	-7,22%	-1,01%	6,76%	23,89%
IMA-B	0,31%	-1,04%	4,08%	8,26%
IPCA	0,50%	0,33%	3,54%	4,82%
IRF-M	0,68%	0,69%	5,06%	12,12%
S&P 500	5,15%	-1,06%	9,55%	20,86%
Euro Stoxx	2,87%	4,59%	9,18%	19,32%
MSCI Emerging	9,49%	-1,67%	22,68%	40,90%
*IPCA for the month that has just ended refers to ANBIMA's projection				

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